

BUSINESS TRIP CLAIM & REIMBURSEMENT

India-focused corporate policy knowledge base for RAG / AI assistants

Scope: domestic travel, international travel, airfare, rail, road, local transport, mileage, lodging, meals, incidentals, visas, travel insurance, business entertainment, advances, foreign exchange, receipts, exceptions, approvals, rejected claims, fraud controls, tax/GST considerations, and employee FAQs.

Important policy note: India does not have one universal statutory reimbursement ceiling that applies to every private company. The monetary ceilings in this document are **illustrative maximum company-policy limits** designed for a generous Indian corporate travel policy and RAG testing. An employer may set lower or different limits. Actual entitlement always depends on the employer's approved policy, employee grade, trip purpose, approvals, and applicable law.

Version: September 2026 **Currency:** INR unless otherwise stated **Use:** Knowledge base / retrieval augmented generation

1. Core policy principles

A business-travel reimbursement policy reimburses reasonable, necessary and business-related expenses incurred during an approved official trip. Reimbursement is not an automatic entitlement to spend up to the maximum. A ceiling is a limit, not a guaranteed allowance.

- **Business purpose:** The expense must have a genuine connection to an approved business activity.
- **Reasonableness:** Employees should choose economical and appropriate options considering safety, time, availability and business need.
- **Approval:** Travel should normally be approved before booking. Emergency bookings should be documented and approved retrospectively.
- **No double claim:** An employee cannot claim an expense already paid directly by the company, client, vendor, corporate card or another employee.
- **Actual cost vs allowance:** This policy primarily uses actual reimbursement with documentary evidence. Where a per-diem is specifically authorized, the per-diem rules apply instead.
- **Original evidence:** E-invoices, hotel bills, tickets, receipts, payment confirmations and other acceptable evidence should be retained.
- **Personal choice:** Any incremental cost caused by personal preference is normally borne by the employee unless an exception is approved.
- **Unused/changed tickets:** Refunds, credits, vouchers or cancellations arising from a company-funded booking belong to the company unless policy explicitly permits otherwise.
- **Safety:** Employees may select a safer reasonable option where the cheapest option is unsafe, unavailable or impractical.
- **Auditability:** Every claim should be traceable to employee, trip, date, destination, business purpose, approver and supporting document.

Decision rule for an AI/RAG assistant: First determine whether the trip and expense are business-related and approved; second identify the expense category; third apply employee grade/destination limits; fourth check receipt and date requirements; fifth check duplicate/company-paid items; finally calculate the reimbursable amount and flag any exception for approval.

2. Illustrative maximum company limits — domestic India

These limits are intentionally generous upper ceilings for a sample corporate policy. They are not statutory Indian reimbursement rates. A real company may use lower grade-wise limits or negotiated corporate rates.

Category	Illustrative maximum	Typical rule
Domestic economy airfare	■20,000 one-way sector	Economy class; higher only with approved exception
Domestic premium/business airfare	■45,000 one-way sector	Senior executive / medical / long-haul exception with approval
Train – AC First/Executive	Actual fare	Business class travel where appropriate
Train – AC 2 Tier	Actual fare	Default for many employees where practical
Intercity bus	■8,000 one-way	AC/sleeper where reasonable
Hotel – metro / major city	■15,000 per night	Room + applicable taxes; breakfast if within policy
Hotel – other Indian city	■10,000 per night	Room + applicable taxes
Hotel – high-cost city / event period	■25,000 per night	Advance exception approval / documented market shortage
Meals – breakfast	■500/day	Actual or meal allowance; do not double claim
Meals – lunch	■800/day	Actual or meal allowance
Meals – dinner	■1,000/day	Actual or meal allowance
Meals – total daily cap	■2,500/day	Includes reasonable non-alcoholic refreshments
Incidental allowance	■750/day	Only if company policy uses an incidental allowance
Local taxi/cab	■2,500/day	Business travel only
Airport/rail transfer	■2,500 per transfer	Actual reasonable cost
Self-drive car mileage	■14/km	Fuel/toll treatment must be defined consistently
Two-wheeler mileage	■8/km	Business kilometres only
Parking	■1,000/day	Actual with receipt where available
Toll	■2,000/day	Actual, business route
Internet/data	■1,500/trip	Business use only if not already provided
Laundry	■1,500/trip	For trips of 4+ nights; business travel only
Visa / business permit	Actual reasonable cost	Business travel only
Travel insurance	■5,000/trip	Actual approved policy
Baggage fees	■5,000/trip	Business baggage; excess caused by personal travel excluded
Business entertainment	■10,000/event	Pre-approval and attendee/business purpose required

Category	Illustrative maximum	Typical rule
Client gifts	■5,000/person	Subject to anti-bribery and company policy

Recommended grade handling: Instead of exposing a single limit to all employees, companies can maintain Grade A/B/C/D limits. The RAG assistant should ask for grade if the policy is grade-dependent. If grade is unknown, return the general ceiling and state that the actual entitlement may be lower.

3. Illustrative maximum company limits — international travel

For international trips, companies often set destination bands rather than one global number. The following INR-equivalent maximums are suitable as a generic high-limit example; actual corporate policies may use USD/EUR/GBP local limits.

Category	Illustrative maximum	Rule
International economy airfare	■1,50,000 one-way	Lowest logical economy fare; business class requires grade/approval
International business class	■4,00,000 one-way	Only approved grades / long-haul / medical or exceptional business need
International hotel – standard	■20,000/night	Destination-adjusted; taxes included unless policy says otherwise
International hotel – high-cost city	■35,000/night	Documented high-cost destination or event period
International meals	■5,000/day	All meals + non-alcoholic refreshments
International incidentals	■2,000/day	Only if separately authorized
Local transport	■5,000/day	Actual reasonable business transport
Airport transfers	■5,000/transfer	Actual reasonable cost
Visa / permit	Actual	Business visa/permit and mandatory fees
Travel insurance	■15,000/trip	Approved business travel policy
Baggage	■15,000/trip	Business baggage only
SIM/data/roaming	■5,000/trip	Business use where corporate service unavailable
Laundry	■3,000/trip	Generally after 4+ nights
Foreign exchange loss/fees	■5,000/trip	Documented transaction/bank/FX charges; not speculative exchange-rate losses
Business entertainment	■25,000/event	Pre-approval, attendees and business purpose required

Foreign currency conversion: Use the actual card/bank settlement amount where available. For cash expenses, use the company's approved exchange-rate source for the transaction date. Never apply a favorable invented rate merely to increase reimbursement.

4. Claimability matrix — common expenses

Use this matrix as a first-pass classifier. “Usually claimable” means business-related and compliant with the company's policy; it is not a guarantee.

Expense	Status	Conditions / evidence
Airfare for approved business trip	Usually claimable	Ticket/itinerary + approval + business purpose
Train/metro intercity fare	Usually claimable	Ticket/booking evidence
Hotel room	Usually claimable	Itemized hotel invoice + approved trip
Breakfast included in hotel rate	Claimable within hotel cost	Do not claim again as separate breakfast
Lunch/dinner	Usually claimable	Actual receipt or approved meal allowance; daily cap
Tea/coffee during work travel	Usually claimable	Reasonable business travel refreshment
Alcohol	Normally not claimable	Unless specific corporate entertainment policy explicitly allows it
Mini-bar	Normally not claimable	Personal consumption
Room service surcharge	Policy-dependent	May be claimable if meal is business-related and within meal cap
Laundry	Conditional	Usually only on longer trips
Personal shopping	Not claimable	Personal expense
Sightseeing	Not claimable	Unless documented company/client event
Movie/OTT/entertainment	Not claimable	Unless business event approved
Spa/salon	Not claimable	Personal
Family member travel	Not claimable	Unless written relocation/assignment benefit says otherwise
Personal hotel extension	Not claimable	Employee pays incremental nights/costs
Taxi from hotel to client	Usually claimable	Business journey + receipt
Taxi to personal dinner	Usually not claimable	Unless business meal/event
Home-to-office commute	Normally not claimable	Separate commute policy may apply
Home-to-airport taxi	Policy-dependent	Often claimable for official trip
Airport parking	Usually claimable	Business trip + receipt
Traffic fines	Not claimable	Employee responsibility
Speeding/parking penalty	Not claimable	Employee responsibility
Passport renewal	Normally not claimable	Unless policy explicitly treats it as a business requirement
Business visa	Usually claimable	Required for official trip
Travel insurance	Usually claimable	Approved business travel

Expense	Status	Conditions / evidence
Medical treatment during trip	Policy-dependent	Use corporate insurance/medical policy where applicable
Lost personal item	Normally not claimable	Insurance/personal responsibility unless company negligence
Tips/gratuity	Policy-dependent	Reasonable and documented if allowed
Foreign exchange conversion fee	Usually claimable	Documented bank/card fee
ATM withdrawal fee	Policy-dependent	Business cash withdrawal with evidence

5. Air travel rules

Air travel should be booked through the approved corporate travel portal or agent where one exists. Employees should select a reasonable itinerary that balances cost, travel time and business requirements.

Claimable:

- Approved economy airfare within the applicable ceiling.
- Mandatory airport taxes, convenience fees, baggage charges and seat fees when business-necessary and policy-permitted.
- Change/cancellation fees when caused by business requirement, company instruction or unavoidable operational change.
- Visa/immigration fees required for the business trip.
- Reasonable airport transfers.

Normally not claimable:

- Seat upgrades chosen for personal preference.
- Lounge access for personal comfort unless business policy permits it.
- Extra baggage caused by personal items.
- Airline meals or purchases that duplicate a reimbursed meal allowance.
- Flight change costs caused solely by a personal itinerary.
- Companion/family airfare.

Flight cancellation and credits: If the company pays for a ticket and the ticket produces a refund, credit, voucher or transferable benefit, the employee must report it. The benefit belongs to the company unless the employer's policy says otherwise.

6. Rail, bus and road travel

Rail: Actual fare is reimbursable for the approved class. The employee should use the class permitted by grade/trip policy. Tatkal or premium charges may be reimbursed when ordinary tickets are unavailable and the travel is business-critical, subject to evidence.

Bus: AC/seater/sleeper travel can be claimed when practical and approved. Premium luxury services are subject to the policy ceiling and business need.

Personal vehicle: A mileage rate can be used where the company allows personal vehicle use. The claim should include date, origin, destination, business purpose and kilometres. Toll and parking should be treated according to the selected mileage policy; avoid paying the same fuel cost twice.

Road item	Illustrative maximum	Required details
Car mileage	■14/km	Business km + route + purpose
Two-wheeler mileage	■8/km	Business km + route + purpose
Taxi/cab	■2,500/day	Receipt/ride record + route
Toll	■2,000/day	Receipt/FASTag record
Parking	■1,000/day	Receipt where available
Rental car	■8,000/day	Approved vendor, business use, fuel policy
Driver charges	■3,000/day	Only when approved/necessary

Not claimable: traffic fines, speeding penalties, personal detours, fuel for personal use, vehicle repairs unrelated to business travel, and damage caused by personal misuse.

7. Accommodation / hotel rules

Eligible room: Standard single room is the default. Suite, premium room, club room or luxury upgrade requires a documented business reason and appropriate approval.

Maximums: Metro/major city ■15,000/night; other city ■10,000/night; high-cost/event period ■25,000/night with exception approval. Taxes may be included or separately reimbursed depending on the company's tax and invoicing setup.

Generally claimable: room tariff, mandatory taxes, approved breakfast where not duplicated, business internet when necessary, approved laundry on longer trips, and reasonable business-related hotel charges.

Generally not claimable: minibar, alcohol, spa, salon, movies, gaming, personal room service, personal guests, family accommodation, lost property, and late checkout caused by personal preference.

Early check-in / late checkout: Claimable when required by the business itinerary and reasonable. Personal convenience charges are not claimable.

Shared room: If employees are required to share, the policy should specify whether the room cap is per room or per employee. If a single room is approved, reimbursement is limited to the approved room type.

8. Food, meals and refreshments

Illustrative daily meal maximum: ■2,500/day domestic and ■5,000/day international. The company may instead use separate breakfast/lunch/dinner limits or a per-diem.

Meal	Domestic max	International max	Notes
Breakfast	■500	■1,000 equivalent	Not separately claimable if hotel breakfast is included
Lunch	■800	■1,750 equivalent	Business travel day
Dinner	■1,000	■2,250 equivalent	Business travel day
Total meals/day	■2,500	■5,000 equivalent	Overall ceiling if using actual meal reimbursement
Refreshments	Within meal cap	Within meal cap	Tea/coffee/water/snacks

Meal timing: A company may define whether partial travel days qualify. Example: departure before 6:00 AM may qualify for breakfast; departure before 1:00 PM may qualify for lunch; return after 8:00 PM may qualify for dinner. These are illustrative policy rules and should be configured by the employer.

Not claimable: alcohol, tobacco/nicotine products, personal groceries, food for family/friends, duplicate meals, minibar snacks unless policy explicitly permits them, and excessive luxury meals without approval.

Client/business meals: These are separate from an employee's personal meal allowance when the company permits business entertainment. Record attendees, organization, business purpose, date and total amount.

9. Per-diem / daily allowance

A per-diem is a fixed amount paid for eligible travel days instead of reimbursing each meal/incidentals receipt. A company must clearly state whether per-diem is **in addition to** or **in place of** actual meal reimbursement.

- Do not claim both a full meal per-diem and the same meals as actual expenses.
- If the employer pays hotel breakfast directly, the policy can reduce the meal allowance for that day.
- If the company provides lunch/dinner during a conference or client meeting, the employee should not double claim that meal.
- Partial-day rules should specify the departure/return times that trigger breakfast, lunch or dinner eligibility.
- Per-diem should not be treated as a blank cheque for personal spending if the policy defines it as a business allowance.

Example: Employee is on a 3-day domestic trip. The company pays hotel and transport directly and gives a ■2,500/day meal allowance. If lunch and dinner are provided at a conference on Day 2, the policy may require deduction of those components from the Day 2 allowance.

10. Client entertainment, gifts and hospitality

Illustrative limits: business entertainment up to ■10,000/event domestically or ■25,000/event internationally; client gifts up to ■5,000/person. These are sample corporate ceilings, not legal safe harbours.

- Pre-approval is required above the normal employee meal limit.
- Record date, venue, attendees, company/organization, business purpose and total spend.
- Alcohol should be treated according to the company's written policy; it may be excluded even where a meal is reimbursable.
- Gifts must comply with anti-bribery, conflict-of-interest and customer/vendor policies.
- Cash gifts, personal transfers and politically sensitive or prohibited payments should not be submitted as ordinary business entertainment.
- Personal celebrations, family dinners and social events are not business entertainment merely because the employee is travelling.

11. Travel advances

A travel advance is money paid to an employee before an approved trip to cover expected reimbursable expenses.

- Advance request should identify destination, dates, purpose and estimated categories.
- Illustrative maximum advance: up to 80% of approved estimated reimbursable trip cost.
- Unused advance must be returned or adjusted against the final expense claim.
- An employee with an overdue previous advance may be blocked from receiving another advance unless Finance approves an exception.
- Cash advance is not additional salary; it is a temporary company-funded amount for approved business expenses.
- The final claim should show: total eligible expenses, advance received, amount to recover from employee or amount payable to employee.

Settlement example	Amount
Travel advance received	■30,000
Eligible expenses	■24,500
Unused amount to return	■5,500
If eligible expenses were ■34,000	Company pays additional ■4,000

12. Receipts, invoices and proof requirements

Preferred evidence: GST/e-invoice or hotel invoice, airline/rail ticket, taxi invoice/ride receipt, parking/toll receipt, card statement, UPI transaction evidence, or other verifiable proof accepted by Finance.

Situation	Required/acceptable evidence	Typical treatment
Hotel	Itemized invoice + booking	Claim actual eligible cost
Flight	Ticket/e-ticket + payment evidence	Claim approved fare and eligible fees
Taxi	App invoice/receipt or vendor receipt	Claim business journey
UPI payment	Receipt/invoice + UPI transaction	Transaction proof alone may not establish business purpose
Cash expense	Receipt if available + declaration	
Lost receipt	Written explanation + alternative evidence	Policy exception; not automatic
Foreign cash expense	Receipt + FX conversion basis	Use approved exchange rate
Corporate card	Card statement + invoice	Employee should still document business purpose

Receipt-less claims: A company may define a small-value limit such as ■1,000 per item and ■5,000 per trip for receipt-less expenses, subject to a signed declaration and manager approval. This is an illustrative control, not a legal rule.

13. Claim submission deadlines and workflow

- 1 Employee obtains travel approval.
- 2 Employee books through the approved channel or receives exception approval.
- 3 Employee completes the business trip and retains evidence.
- 4 Employee submits the expense claim, normally within 15 calendar days of return.
- 5 Manager validates business purpose and policy compliance.
- 6 Finance checks documents, limits, duplicates, taxes and arithmetic.
- 7 Approved amount is reimbursed through payroll/AP/bank transfer.
- 8 Rejected or partially approved items are returned with a reason.
- 9 Employee may appeal with additional evidence within 15 calendar days.

Illustrative late-claim rule: Claims submitted after 30 days require Finance approval; claims after 60 days may be rejected unless there is a documented exceptional reason. Companies may choose different periods.

14. Exceptions and approval hierarchy

Exception	Minimum suggested approval	Examples
Above hotel cap	Business unit head + Finance	Event surge, no rooms below cap
Business class flight	Department head / authorized executive	Long-haul, senior grade, medical necessity
High taxi cost	Manager	Safety, remote site, late-night travel
Missing receipt	Manager + Finance	Vendor unable to provide receipt
Personal extension	Pre-trip manager approval	Employee adds leave days
Family travel	HR/authorized executive	Only where a written benefit exists
Emergency travel	Manager after travel	Client incident, urgent deployment
Foreign cash expense	Manager/Finance	Local merchant cannot issue invoice

Key principle: An exception approval does not automatically make an otherwise prohibited expense reimbursable. The approving authority must have authority under company policy to permit that category.

15. Personal travel combined with business travel

- Business airfare may be reimbursed up to the cost of the approved business itinerary.
- If a personal stopover increases airfare, the incremental amount is normally borne by the employee.
- Personal hotel nights are not reimbursable.
- A taxi for a personal excursion is not reimbursable.
- If the employee's personal itinerary changes the travel date, approval should be obtained before booking.
- If a companion travels, companion costs are personal unless an explicit company benefit applies.
- Leave dates should be recorded separately from official travel dates.

Example: Approved Chennai → Mumbai → Chennai airfare costs ■12,000. Employee chooses Chennai → Mumbai → Goa → Chennai costing ■19,000. The company may reimburse ■12,000 and the employee bears ■7,000, assuming the original itinerary remains a reasonable comparator.

16. Comprehensive list of normally non-claimable items

- Alcohol and tobacco/nicotine products, unless an explicit written policy permits a specific business-hosting category.
- Personal shopping, clothing, cosmetics, gifts for family and souvenirs.
- Sightseeing, tourist attractions, amusement parks and personal entertainment.
- Spa, salon, massage and wellness services.
- Mini-bar and personal hotel purchases.
- In-room movies, gaming and entertainment charges.
- Family/companion travel and accommodation.
- Personal mobile bills or data plans where a corporate plan is already provided.
- Traffic fines, speeding fines, parking penalties and other legal penalties caused by the employee.
- Costs resulting from personal itinerary changes.
- Personal vehicle repair, servicing, depreciation beyond the approved mileage policy, or accident excess unless specifically covered.
- Lost cash or lost personal property.
- Duplicate expenses or expenses reimbursed by another party.
- Expenses without a business purpose.
- Expenses outside approved dates unless an exception is documented.
- Premium upgrades chosen solely for comfort.
- Home groceries and personal food purchases.
- Medical expenses covered by insurance or a separate medical benefit, unless the travel policy explicitly covers them.
- Interest, late fees or penalties caused by the employee's delayed payment.
- Donations or political contributions.
- Personal loans or advances to colleagues/vendors.
- Unapproved client gifts or hospitality that violate company rules.
- Expenses deliberately split into multiple claims to avoid an approval limit.

17. Scenario-based decisions for RAG

Question	Expected policy reasoning
Can I claim a ■13,000 hotel in a metro?	Yes, if it is an approved business trip, the room is eligible, the ■15,000 illustrative metro cap applies, and required evidence is provided.
Can I claim a ■19,000 metro hotel?	Only if an approved high-cost/event exception permits it; otherwise cap reimbursement at the applicable limit.
Can I claim alcohol with a client dinner?	Not under the default policy. Check the company's separate hospitality policy; never assume alcohol is reimbursable.
Can I claim breakfast included in hotel price?	It is part of the hotel cost; do not claim it again as a separate meal.
Can I claim a taxi from hotel to client?	Yes, when business-related and documented.
Can I claim a taxi to a tourist place?	No, it is personal travel.
Can I claim home-to-airport taxi?	Usually yes if the company policy covers airport transfers for official travel.
Can I claim traffic fine?	No.
Can I claim a personal hotel extension?	No; only approved business nights are reimbursable.
Can I claim a family member's airfare?	No unless a written company benefit explicitly permits it.
Can I claim business class because economy was uncomfortable?	No business class requires policy eligibility or an approved exception.
Can I claim a lost receipt?	Possibly through the receipt-loss exception process; it is not automatically reimbursable.
Can I claim food without a receipt?	Only if the policy has a receipt-less/per-diem provision and the claim satisfies it.
Can I claim a meal when the client paid?	No; that would duplicate reimbursement.
Can I claim a meal when the company provided lunch?	No; the same lunch; apply any applicable per-diem reduction rule.
Can I claim a flight change fee?	Yes when caused by business requirements or an approved unavoidable change; personal changes are normally excluded.
Can I claim a foreign exchange loss?	Only documented bank/card conversion fees or approved FX treatment; speculative currency losses are not reimbursable.
Can I claim visa fees?	Yes when the visa is required for approved business travel and is not a personal immigration expense.
Can I claim passport renewal?	Usually no unless the company policy explicitly covers it as a business requirement.
Can I claim laundry?	Usually only on longer trips, for example 4+ nights, and within the stated cap.

18. Edge cases the RAG assistant should handle

- **Trip cancelled after booking:** Claim non-refundable business cost only if the cancellation was not caused by personal choice; record refund/credit status.
- **Flight delayed overnight:** Reasonable additional hotel/meals may be claimable when the delay is outside the employee's control and connected to business travel.
- **Employee works from a client site for months:** Determine whether it remains business travel or becomes a relocation/long-term assignment under HR policy.
- **Weekend travel:** Travel on Saturday/Sunday can be reimbursable if required by business itinerary; weekend does not automatically make it personal.
- **Travel during leave:** Business costs are claimable only for the official portion; personal leave extension is excluded.
- **Conference package:** If registration includes meals/hotel, do not duplicate those components.
- **Corporate card used:** Employee should not submit a personal reimbursement claim for the same amount.
- **Vendor/client reimburses the employee:** The employee must disclose the reimbursement to prevent double recovery.
- **Shared taxi:** Split the fare fairly or identify all employees on the claim; do not claim the full amount multiple times.
- **Shared hotel:** The same invoice must not be claimed twice for the same room.
- **GST invoice:** Where the company requires GST-compliant documentation for business/tax purposes, collect the correct legal entity details.
- **Currency conversion:** Use actual card settlement or approved corporate FX rate; retain the transaction evidence.
- **Emergency purchase:** If safety/business continuity requires an unusual purchase, document the reason and seek retrospective approval.
- **Cash withdrawal:** Claim only the business amount actually spent, not the full cash withdrawal, unless the company expressly treats an advance differently.
- **Tip/gratuity:** Follow the written policy; do not disguise a tip as another expense category.

19. India tax and GST considerations

Tax treatment depends on the nature of the payment, documentation, employment arrangement and current tax rules. The reimbursement policy should not promise a tax outcome merely because an expense is labelled “business travel.”

- A fixed allowance and reimbursement of actual business expenses are conceptually different. The Income Tax Department notes that allowances can be taxable, partially exempt or fully exempt depending on the applicable provision. ■cite■turn0search1■turn0search2■
- Employer-paid or reimbursed travel, accommodation and related expenses can have different tax/perquisite treatment depending on whether the travel is official, personal, or an extension of vacation. Current rules should be checked before final payroll treatment. ■cite■turn0search24■
- GST input-tax-credit eligibility is a separate company tax question from employee reimbursement eligibility. Finance should determine whether the invoice, recipient, business purpose and applicable GST provisions support any credit.
- The company should maintain correct legal entity name/GSTIN on invoices where required for its accounting and tax process.
- Do not tell employees that a reimbursement is “tax-free” merely because it is below an internal limit. Internal limits and tax law are different concepts.
- If an employee asks a tax-specific question, the RAG assistant should answer with the current company policy plus a caveat that Finance/Tax should confirm the employee's tax position.

Source note: The Income Tax Department's current materials distinguish allowances from perquisites and publish current tax rules and notified rules. This knowledge base uses those sources only for general tax-context guidance; company reimbursement ceilings remain illustrative policy values, not government-prescribed universal ceilings.

20. Fraud, duplicate claims and audit controls

- Duplicate invoice number, amount, date or vendor should trigger a duplicate-check.
- The same taxi/hotel/meal invoice should not appear on multiple employee claims.
- Altered screenshots, edited PDFs, fabricated receipts and false business purposes are prohibited.
- Splitting a ₹20,000 expense into four ₹5,000 claims to avoid approval limits is prohibited.
- Submitting personal expenses under a business category is prohibited.
- Claiming an expense paid by corporate card or another employee is prohibited.
- Using a relative/friend's invoice without a genuine business transaction is prohibited.
- Employees must disclose refunds, credits, cancellations and vendor reimbursements.
- Repeated receipt-less claims should be monitored.
- Finance may request bank/card statements or additional evidence for audit.

RAG answer rule: If a user asks how to hide, falsify, split or disguise a personal expense, the assistant should not provide a workaround. It should explain the legitimate documentation and approval process.

21. Recommended structured fields for an expense claim

Field	Example	Why it matters
employee_id	EMP00125	Identifies claimant
employee_grade	G5	Determines grade-based limits
trip_id	TRIP-2026-0042	Links all expenses to one trip
trip_type	Domestic / International	Determines rule set
destination	Mumbai, India	Determines city/destination band
start_date	2026-09-20	Eligibility window
end_date	2026-09-23	Eligibility window
business_purpose	Client implementation	Establishes business necessity
expense_date	2026-09-21	Checks trip/date validity
category	Hotel / Food / Taxi	Selects policy
subcategory	Hotel room	Fine-grained rule
amount	■12,500	Calculation
currency	INR	FX handling
payment_method	Corporate card / UPI / Cash	Evidence
receipt_available	Yes / No	Documentation rule
receipt_number	INV-12345	Duplicate detection
vendor	ABC Hotel	Verification
gstn	29ABCDE1234F1Z5	Tax/accounting where applicable
approval_status	Approved	Policy authorization
business_purpose_note	Meeting client X	Audit context
company_paid	Yes / No	Prevents duplicate reimbursement
reimbursable_amount	■12,500	Final calculation
rejection_reason	Above cap / Personal / Duplicate	Explain decision

22. RAG decision tree for “Can I claim this?”

- 1 **Is it related to an approved business trip?** If no → normally not claimable.
- 2 **Was the expense incurred within the eligible business dates?** If no → normally personal unless exception.
- 3 **Is the expense category allowed?** If no → reject or route to a separate policy.
- 4 **Is the amount within the applicable limit?** If yes → continue. If no → reimburse only up to cap or route for authorized exception, depending on policy.
- 5 **Is acceptable evidence available?** If yes → continue. If no → apply receipt-less exception if available.
- 6 **Was it already paid by the company/client/another employee?** If yes → do not reimburse again.
- 7 **Does it duplicate another category?** Example: hotel breakfast + meal claim → deduct duplicate.
- 8 **Was there a personal choice that increased the cost?** If yes → normally reimburse only the business comparator or approved amount.
- 9 **Is approval required?** If yes and missing → route for approval rather than silently approving.
- 10 **Calculate:** eligible actual cost, applicable cap, approved exception, and any duplicate/advance deduction.
- 11 **Return an explanation:** approved amount, excluded amount, reason, required evidence and appeal/exception path.

23. Frequently asked questions

Q: What is a business trip claim?

A: A request by an employee to recover eligible expenses incurred for an approved official business trip.

Q: What is reimbursement?

A: Payment back to an employee for eligible business expenses the employee personally paid, subject to company policy and evidence.

Q: What is a travel advance?

A: Money provided before travel to cover expected eligible expenses; it must be reconciled after the trip.

Q: Can I claim food every day?

A: Only for eligible business travel days and within the applicable meal/per-diem rules.

Q: Can I claim food without receipts?

A: Only if the company's policy explicitly provides a receipt-less or per-diem mechanism.

Q: Can I claim hotel breakfast separately?

A: Not if it is already included in the hotel price or otherwise provided by the company.

Q: Can I claim alcohol?

A: Not under the default policy in this knowledge base; check the specific hospitality policy.

Q: Can I claim my spouse's ticket?

A: Normally no unless a written company benefit permits it.

Q: Can I claim a taxi from home to office?

A: Normally no; ordinary commute is separate from business travel.

Q: Can I claim home to airport?

A: Usually yes for an official trip if the travel policy permits airport transfers.

Q: Can I claim a higher hotel than the limit?

A: Only with a valid exception/approval under the company policy.

Q: What if there is no hotel under the limit?

A: Book the nearest reasonable compliant option and obtain exception approval if required.

Q: What if my flight is cancelled?

A: Follow the cancellation/refund process and claim eligible non-refundable business costs with evidence.

Q: What if I lose a receipt?

A: Use the company's receipt-loss declaration/exception process if available.

Q: Can I claim personal travel added to a business trip?

A: Only the business portion; incremental personal costs are normally excluded.

Q: Can I claim laundry?

A: Usually on longer trips and within the policy limit.

Q: Can I claim visa fees?

A: Yes when required for an approved business trip.

Q: Can I claim passport fees?

A: Usually no unless the company explicitly covers them for business purposes.

Q: Can I claim parking and tolls?

A: Yes for business travel within applicable limits, with evidence where required.

Q: Can I claim mileage and fuel?

A: Not both for the same kilometres unless the written policy explicitly allows that structure.

Q: Can I claim a business meal with a client?

A: Yes if business entertainment is permitted, approved and documented with attendees and purpose.

Q: Can I claim expenses paid with a company card?

A: No personal reimbursement for the same amount; record it through the corporate-card process.

Q: How long do I have to submit a claim?

A: Illustrative policy: within 15 calendar days; late claims may require additional approval.

Q: Who approves a claim?

A: Typically the reporting manager plus Finance checks; exceptions may require a higher authority.

Q: What happens if a claim is rejected?

A: The employee should receive the reason and may provide missing evidence or request an authorized exception/appeal.

24. Policy administration and version control

- Policy owner: Finance / HR / Corporate Travel.
- Approval authority: CFO/Finance Head or delegated policy owner.
- Review frequency: at least annually and whenever material travel-market, tax, GST, safety or corporate changes occur.
- Effective date should be explicit.
- Every change to limits should have an effective date so the RAG assistant can apply the correct rule to the expense date.
- Historic claims should be evaluated under the policy version effective on the relevant date, unless the company explicitly applies a retrospective change.
- Maintain a separate table of employee grade, destination band, currency and limit so the AI assistant does not hard-code one number.
- Store exceptions with approver, date, reason and scope.

25. Recommended RAG response format

For an employee question, the assistant should answer in this structure:

Eligibility: Claimable / Partially claimable / Not claimable / Needs approval

Applicable rule: Name the category, limit, grade/destination rule and evidence requirement.

Calculation: Show actual cost, cap, approved exception and final reimbursable amount.

Documents: List receipt, invoice, ticket, approval and any declaration required.

Exclusions: Identify personal, duplicate, over-limit or otherwise excluded amounts.

Next action: Submit, obtain approval, attach missing evidence, return advance, or contact Finance.

Uncertainty: If the employee's grade, destination, dates or policy version is unknown, ask for the missing field instead of guessing.

Example answer: “Your ■13,000 Mumbai hotel is within the illustrative ■15,000 metro ceiling. It is reimbursable if the trip was approved, the room is eligible, the stay dates match the business itinerary, and an itemized hotel invoice is attached. If your grade has a lower limit, that lower limit applies.”

26. Master limit table for implementation

Expense class	Illustrative maximum	Basis	Approval / evidence
Domestic flight economy	■20,000/sector	Actual fare up to cap	Ticket + trip approval
Domestic flight business/premium	■45,000/sector	Exceptional	Authorized approval
International flight economy	■1,50,000/sector	Actual fare up to cap	Ticket + approval
International business class	■4,00,000/sector	Exceptional/eligible grade	Senior approval
Metro hotel	■15,000/night	Actual	Itemized invoice
Other city hotel	■10,000/night	Actual	Itemized invoice
High-cost/event hotel	■25,000/night	Exception	Exception approval + invoice
Domestic meals	■2,500/day	Actual or per-diem	Receipt or per-diem
International meals	■5,000/day equivalent	Actual or per-diem	Receipt or per-diem
Domestic incidentals	■750/day	If policy provides	Trip eligibility
International incidentals	■2,000/day	If policy provides	Trip eligibility
Domestic local transport	■2,500/day	Actual	Taxi/ride evidence
International local transport	■5,000/day	Actual	Taxi/ride evidence
Car mileage	■14/km	Business kilometres	Route/log
Two-wheeler mileage	■8/km	Business kilometres	Route/log
Parking	■1,000/day	Actual	Receipt
Toll	■2,000/day	Actual	Receipt/FASTag
Rental car	■8,000/day	Actual	Approved rental
Internet/data	■1,500 domestic / ■5,000 international	Actual	Bill
Laundry	■1,500 domestic / ■3,000 international	Actual	Bill; longer trip
Visa	Actual	Mandatory business travel	Invoice/receipt
Travel insurance	■5,000 domestic / ■15,000 international	Actual	Policy receipt
Business entertainment	■10,000 domestic / ■25,000 international	Actual	Pre-approval + attendees
Client gifts	■5,000/person	Actual	Approval + recipient/business purpose
Receipt-less expenses	■5,000/trip illustrative	Controlled exception	Declaration + approval

27. Source, legal and implementation disclaimer

This document is a **sample corporate policy knowledge base** for an Indian-company business-trip claim and reimbursement RAG system. It is not a government reimbursement schedule and does not create an employee entitlement.

The Income Tax Department's official material explains that allowances and perquisites can have different tax treatment and that current tax rules should be consulted. Current notified rules also address the treatment of travel/touring/accommodation benefits in particular contexts. ■cite■turn0search1■turn0search24■

Government tax rules do not establish one universal private-sector business-travel reimbursement ceiling for every Indian company. Therefore, the rupee limits in this document are intentionally labelled **illustrative maximum company-policy limits**. A production RAG system should replace them with the actual employer's approved policy and effective dates.

Official references used for general tax context: Income Tax Department, Government of India — current salary/ITR FAQs and notified Income-tax Rules. ■cite■turn0search1■turn0search24■

Production recommendation: Keep legal/tax guidance in a separate versioned knowledge source from the employer's internal reimbursement policy. When the two conflict, the RAG assistant should not invent a resolution; it should route the question to Finance/Tax/HR.

28. RAG evaluation questions — high coverage test set

- Is a ₹13,000 hotel in Mumbai claimable?
- What is the maximum hotel amount in Chennai?
- Can I claim a ₹22,000 hotel during a conference?
- What is the maximum domestic airfare?
- Can an employee claim business class?
- What documents are needed for a hotel claim?
- Can I claim breakfast if the hotel provides free breakfast?
- What is the maximum daily food claim?
- Can I claim alcohol at a client dinner?
- Can I claim a taxi from airport to hotel?
- Can I claim home-to-airport travel?
- Can I claim a taxi used for sightseeing?
- Can I claim tolls?
- Can I claim parking?
- What is the car mileage rate?
- Can I claim mileage and fuel together?
- Can I claim traffic fines?
- Can I claim laundry?
- When can I claim laundry?
- Can I claim a family member's airfare?
- Can I claim a personal hotel extension?
- What if my flight is cancelled?
- What if I lose my receipt?
- Can I submit a claim after 30 days?
- Can I claim expenses paid by corporate card?
- Can I claim expenses reimbursed by a client?

- What happens to unused travel advance?
- How much travel advance can I request?
- Can I claim visa fees?
- Can I claim passport renewal?
- How should foreign expenses be converted to INR?
- Can I claim foreign exchange losses?
- What is the international hotel limit?
- What is the international meal limit?
- Can I claim business entertainment?
- What details are needed for a client meal?
- Can I claim a client gift?
- Can I claim a suite?
- Can I claim a luxury room if cheaper rooms are unavailable?
- Can I claim an airport lounge?
- Can I claim seat selection?
- Can I claim excess baggage?
- Can I claim a personal shopping expense?
- What counts as a duplicate claim?
- What is the receipt-less expense limit?
- Who approves exceptions?
- What is the difference between reimbursement and per diem?
- Can I claim a meal if a conference provided it?
- What if the employee shares a taxi?
- What if two employees share a hotel room?
- What happens if a company-funded ticket generates a travel credit?
- Can the RAG assistant guarantee tax exemption?
- Does India have one universal reimbursement limit for private companies?